necessary to support these sweeping innovations. Speculators are the ones who first allocate money because they have the highest tolerance for risk and are always on the lookout for new information. While speculation typically ends with a supply glut because too much money eventually pours into the innovation, the glut is often temporary. The arrival and implementation of copious amounts of capital may lead to an excess of capacity, but as the innovation gains mass adoption over the following decades, the abundance of infrastructure proves useful. Such was the case with the rapid buildout of railways in Europe in the mid-1800s and the deployment of fiber optic cables to support the Internet in the 1990s.

Single speculators, or small groups of them, typically do not destabilize markets. It is when the groups turn into crowds that the negative ramifications build. In this sense, the vitriol should not be directed so much at speculation, but instead at crowd behavior that overtakes the capital markets.

Crowd theory was pioneered by Gustave Le Bon, whose most famous work was *The Crowd: A Study of the Popular Mind*. In his later book *The Psychology of Revolution*, Le Bon wrote:

> Man, as part of a multitude, is a very different being from the same man as an isolated individual. His conscious individuality vanishes in the unconscious personality of the crowd… . Among the other characteristics of crowds, we must note their infinite credulity and exaggerated sensibility, their short-sightedness, and their incapacity to respond to the influences of reason. Affirmation, contagion, repetition, and prestige constitute almost the only means of persuading them. Reality and experience have no effect upon them.[8]